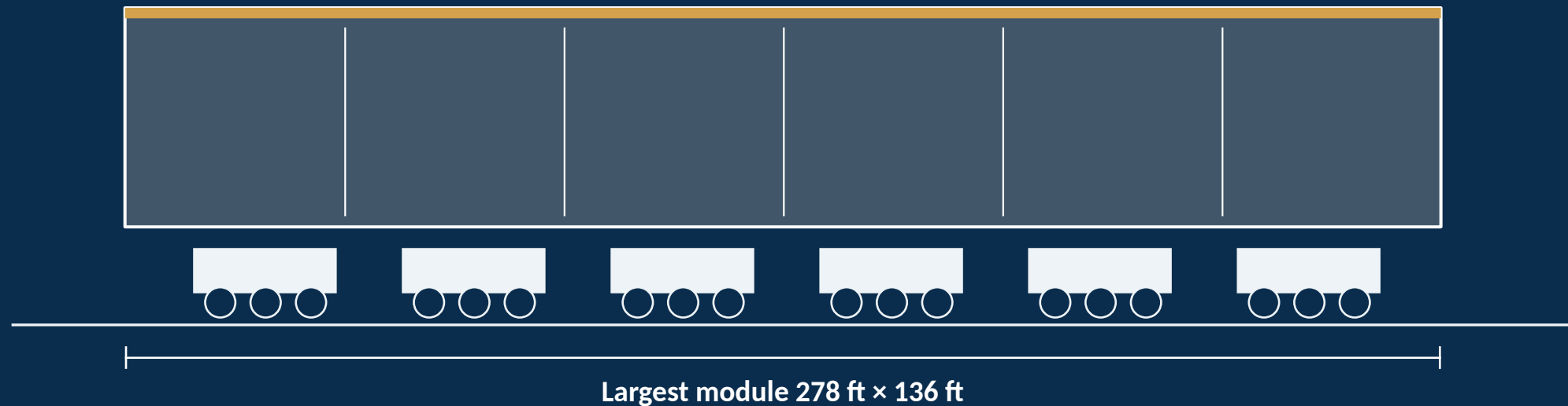


The concrete is a decoy. The register is the deadline.

An executive briefing on Terminal F · Dallas Fort Worth International Airport · August 2026

Factory-built concourse module — its design decisions closed before it arrived



3,320 tons · moved by self-propelled modular transporter · set to ~3/4-inch tolerance · completed August 8, 2025

A \$4 billion, 31-gate building committed to one carrier through 2043

\$1.6B → \$4B	2043	82.6%	~100,000
Scope growth, May 2025 — from 15 gates to 31 gates	Use & Lease term; American Airlines is the sole occupant	American's share of DFW passengers, 2025	peak-day American customers, on ~930 peak-day departures

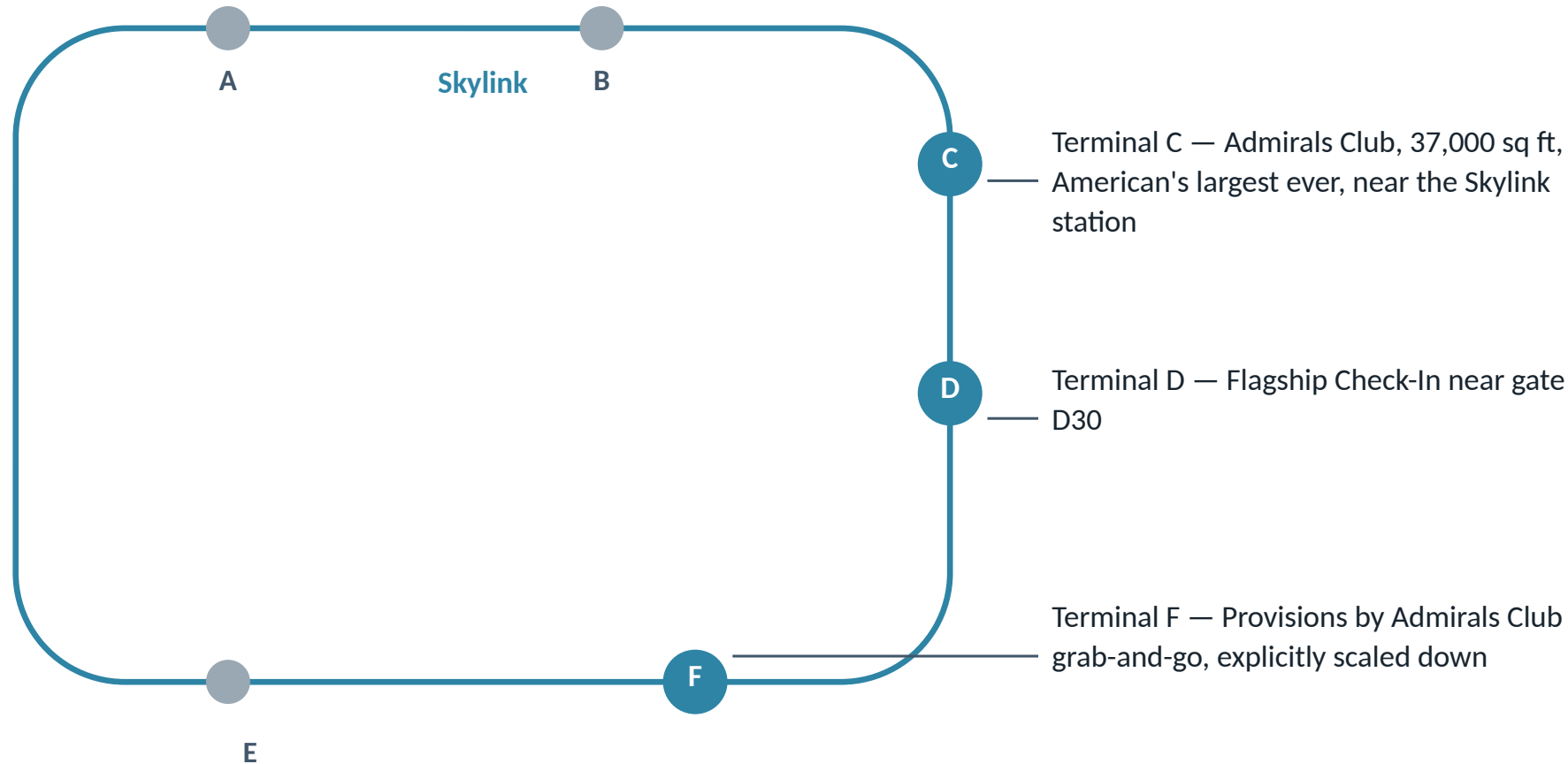
Phase 1 opens in 2027; the full program completes in 2030. The plan is sound and the carrier is committed — the question is what the building should absorb before each module's decisions close.

The deadline is release-for-fabrication — and for six modules it has already passed



Post-release, modular is more change-hostile than stick-built: template changes propagate across the fabrication line. The ~30% cost and ~30% schedule savings is a repetition dividend — DFW-supplied, not independently audited.

American has told the airport, for now, what F is for — a signal, not a settlement



Three readings

1 — Revealed preference

2 — Sequencing: F opens 2027

3 — An Arrivals-premium node

Convergence traces to one American press release plus secondary reporting.

Size to the denser-peak reading: the rebank's flattening effect is claimed, not proven

American's case

- 9 → 13 daily banks, effective April 2026
- Missed connections down 50% in the first 17 days

Flag — AA internal data — short window, not independently audited

The Q2 2026 audit

- Departure rate up ~1% year over year — second-worst among busy US airports
- Block times +6 minutes average across 145 network markets (CLT +17, DCA +10, MIA +9)

Flag — Network-wide measure — not DFW-specific

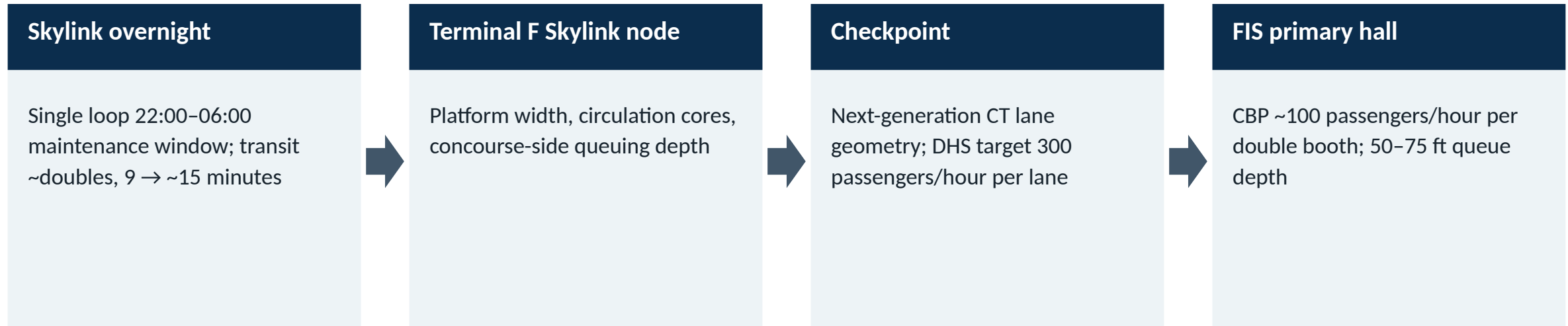
The building must serve ~100,000 peak-day customers on ~930 peak-day departures.

Seven purpose-built hub bets since deregulation: the mixed cases carry the lesson

Terminal (opened)	Outcome	Design lesson
Pittsburgh Midfield (1992)	US Airways dehubbed 2004 over a fee dispute; CPE nearly doubled to ~\$14.97 by 2011	Carrier-specific bet; debt outlived the hub
Cincinnati CVG (2005 peak)	22.7M passengers, 600+ daily flights → under 6M, under 180 daily by 2013	Unwind can take a decade and still be total
St. Louis (2001 peak)	500+ daily flights July 2001 → 207 by 2003	The fastest dehub in the set: two years
Cleveland Concourse D	Went dark May 2014; daily departures ~200 → 72	A purpose-built concourse can simply go dark
Detroit McNamara (2002)	Absorbed the 2008 Delta–Northwest merger without material retrofit	A hub form, not a Northwest form — generic geometry cost nothing
JetBlue JFK Terminal 5 (2008)	Required \$200M international-arrivals extension (2014); 2025–26 premium refresh	Omitted optionality was paid for inside six years
Atlanta Concourse F (2012)	Purpose-built premium international floor plate; functioned as designed	Premium floor plates work when priced and sited deliberately

Hub-generic bones plus priced, conditioned premium shells — not either alone.

The 6:15 a.m. case: size the pour-locked geometry for the morning the building is worst



Stress overlay — January 2023 winter event: ground stop, 1,100+ peak-day cancellations, 600+ the next day

Constructed stress case — professional judgment, not a documented daily event; adopted as the formal sizing scenario for exactly that reason (D4).

Eight pour-locked items, none of them a Flagship Lounge

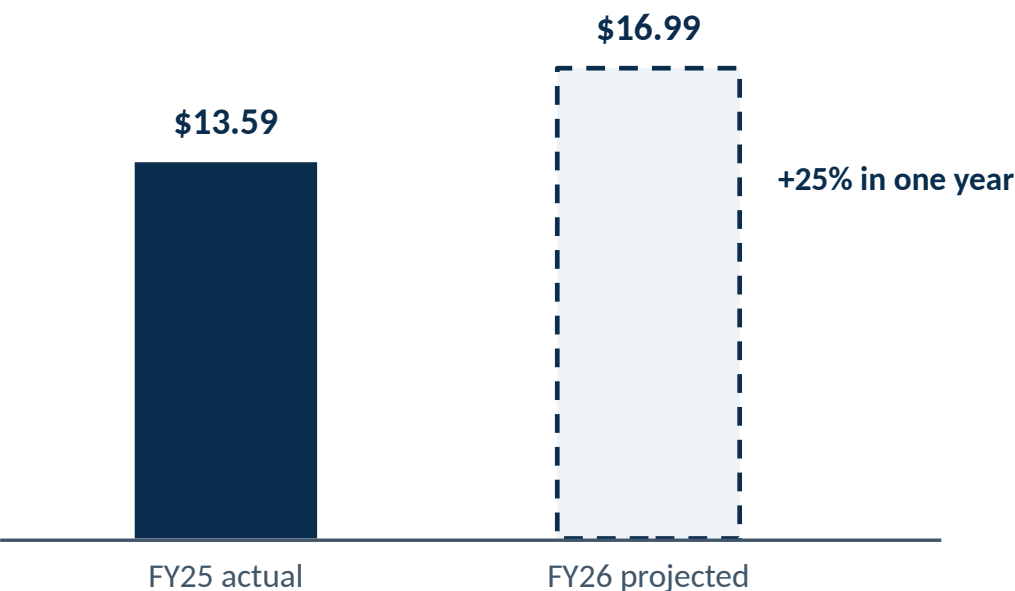
Register item	What locks at pour or release	Dependency to clear first
MARS-capable stands (minority of widebody positions)	Fuel pit, PCA/400 Hz risers, jetbridge foundation, apron lead-in geometry	FAA modification-of-standard letter
FIS floor plate & sterile corridor	Primary-hall dimensions; CBP ~100 pax/hr per double booth; 50–75 ft queues	CBP Reimbursable Services agreement — a two-year negotiation
Checkpoint rooms	Conveyor run, search depth, ceiling height; 300 pax/hr/lane CT geometry	Written TSA concurrence — on the critical path
Skylink node	Platform width, cores, queuing depth for the ~15-minute overnight loop	Adopt the D4 sizing scenario
Baggage-handling trunk cross-section	Trunk dimension through the concourse at next-decade bank volumes	None federal; disruptive and costlier as an operating retrofit
Lounge-capable shells (head-of-pier)	MEP risers, grease waste, structural allowance, curtain wall — deliberately not built out	Terminal F Reversibility Side Letter with American
Instrumentation baseline	Sensor conduit, PoE++ drops, fiber diversity — through the factory once	D0 — template changes at repeat-part cost
CUPPS-capable gate hardware	Common-use IT provision across the exclusive-use envelope	American IT participation in factory witness testing

Costs are register-grade, not audit-grade — confirm before the Finance & Audit Committee.

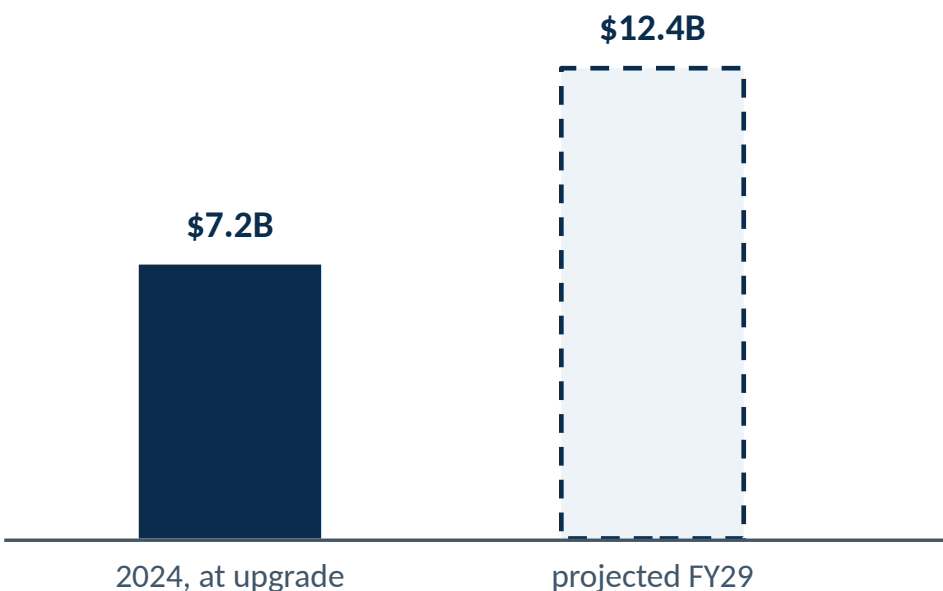
The affordability arbitrage is being spent — every option needs a number and a ceiling

Cost per enplanement — signatory CPE, USD

Outstanding debt — USD billions



Flag — no public CPE projection exists for FY27–FY30



Flag — projection pre-dates the May 2025 +\$2.4B scope expansion — post-expansion path unpublished and higher

The 70th Supplemental Bond Ordinance authorizes \$3.0B in new debt through February 2026; beyond it, both the Dallas and Fort Worth city councils must approve.

Source: Cost per Enplanement by Airport — CPE Data 2026 (industry aggregation of the 2025 A/B bond Official Statement); The Bond Buyer, Aug 2024 (S&P upgrade to AA-; debt projection); DFW 70th Supplemental Bond Ordinance.

Six decisions before the fabrication window closes in 2030 — Do precedes everything

Do	D1	D2	D3	D4	D5
Confirm the JV template-change path at repeat-part cost	Close the two U&L contract questions	Publish the reversibility register, module by module	Execute the Reversibility Side Letter	Adopt the degraded-morning sizing case	Fix the instrumentation template
<i>Chief Procurement Officer</i>	<i>General Counsel</i>	<i>VP Terminal Development</i>	<i>Chief Development Officer</i>	<i>Chief Operating Officer</i>	<i>Chief Information Officer</i>

D0 gates the register's cadence and the instrumentation rollout

- STOP** American announces a Flagship-tier build-out on a published schedule → a fit-out program replaces the register
- STOP** Connecting share falls below a connecting-majority floor for two consecutive cycles → re-test the affected geometry
- STOP** U&L renegotiation opens before 2043 → the Side Letter folds into the amendment

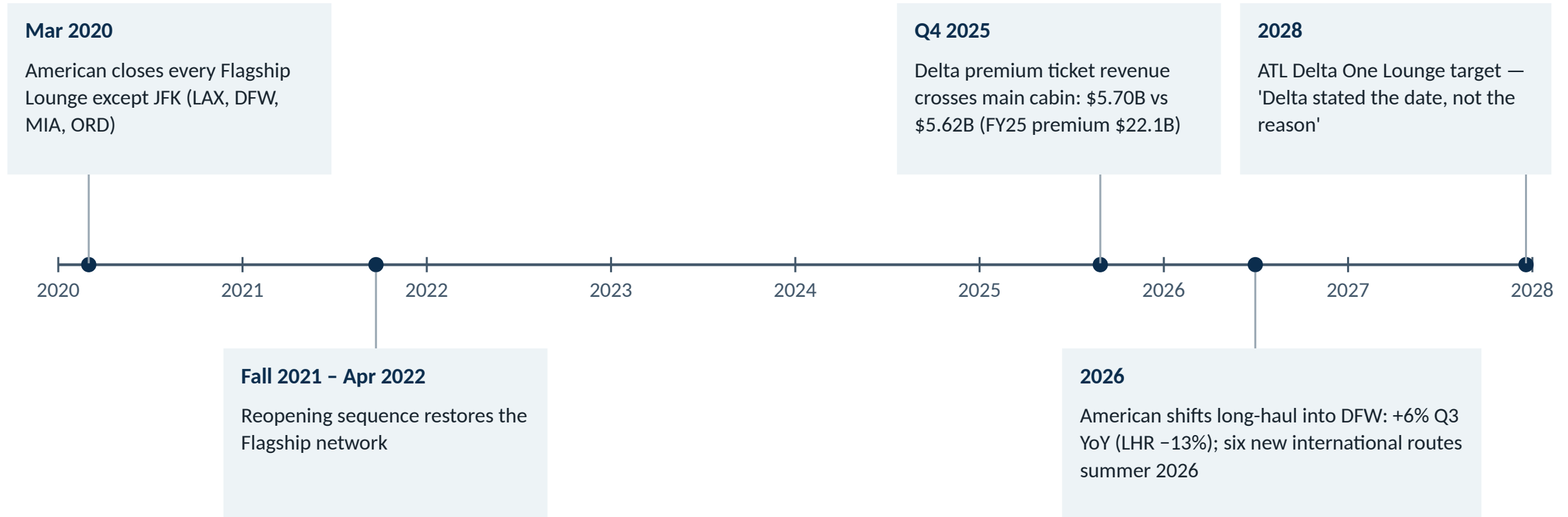
The counter-case, honestly presented: four objections, four constraints

READ-AHEAD

Objection, at full strength	Disposition — as a constraint, not a defeat
American signed to 2043 — why insure a committed relationship?	Generic geometry insures against strategy shifts inside a 17-year term — and protects the tenant as much as the airport
Premium is the airline's side of the line: Delta's JFK T4 Delta One Lounge (~40,000 sq ft, 515 seats) was carrier-funded on someone else's base building	Exactly — hence Side Letter conditioning: the airport builds shells only; American exercises at American's expense
Options accumulate into an unfunded shopping list	A three-to-four-line register that refuses everything else is the discipline, not the abandonment
Affordability: signatory CPE is already rising ~25% in a single year	The Finance & Audit forward-CPE ceiling binds the aggregate premium — and under-scoping is often the more expensive error

Premium posture is a cycle, not a constant

READ-AHEAD

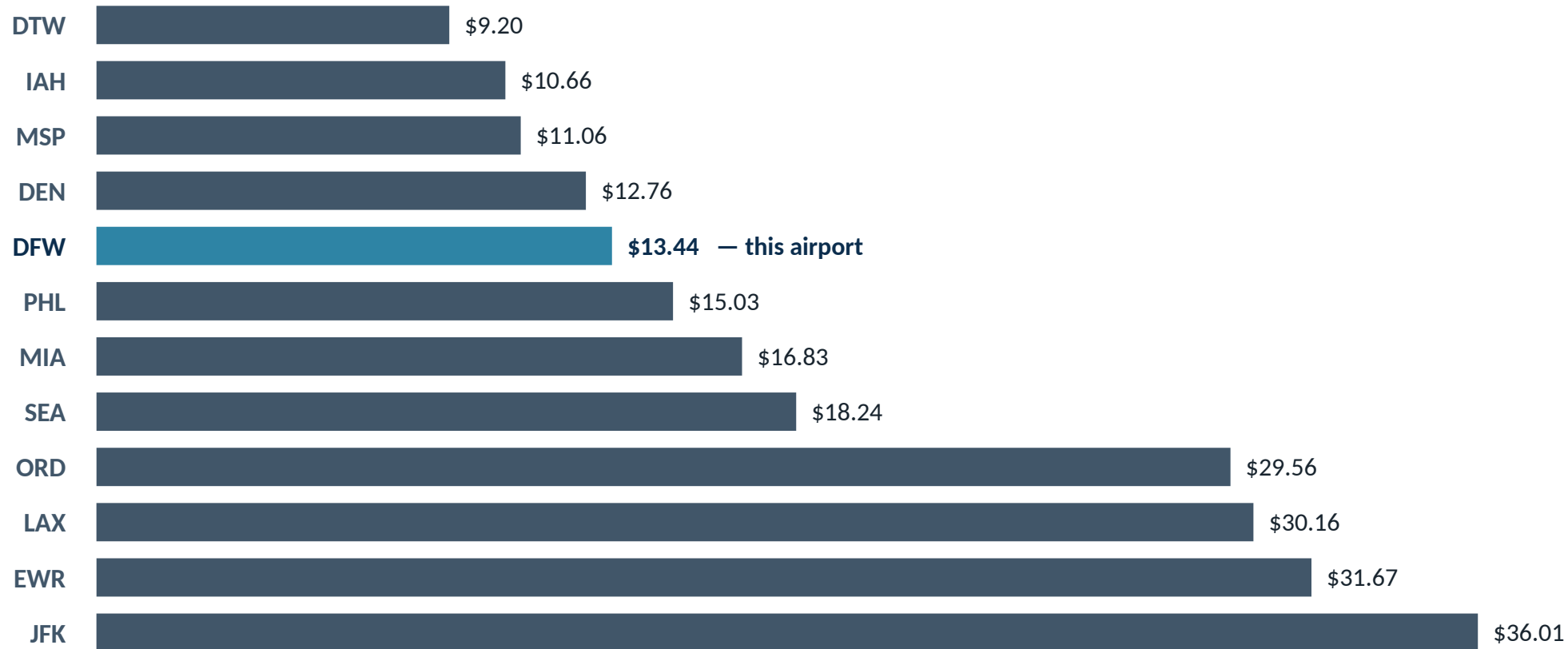


A design bet that must survive to 2043 needs to survive several repetitions of the 2020–2022 cycle.

DFW's cost position versus peer hubs, 2024

READ-AHEAD

USD per enplaned passenger — 2024 peer table



DWU Consulting peer table, 2024 vintage. DFW's bond-covenanted signatory CPE — FY25 \$13.59 actual, FY26 \$16.99 projected — uses a different scope; the two measures are directionally consistent.

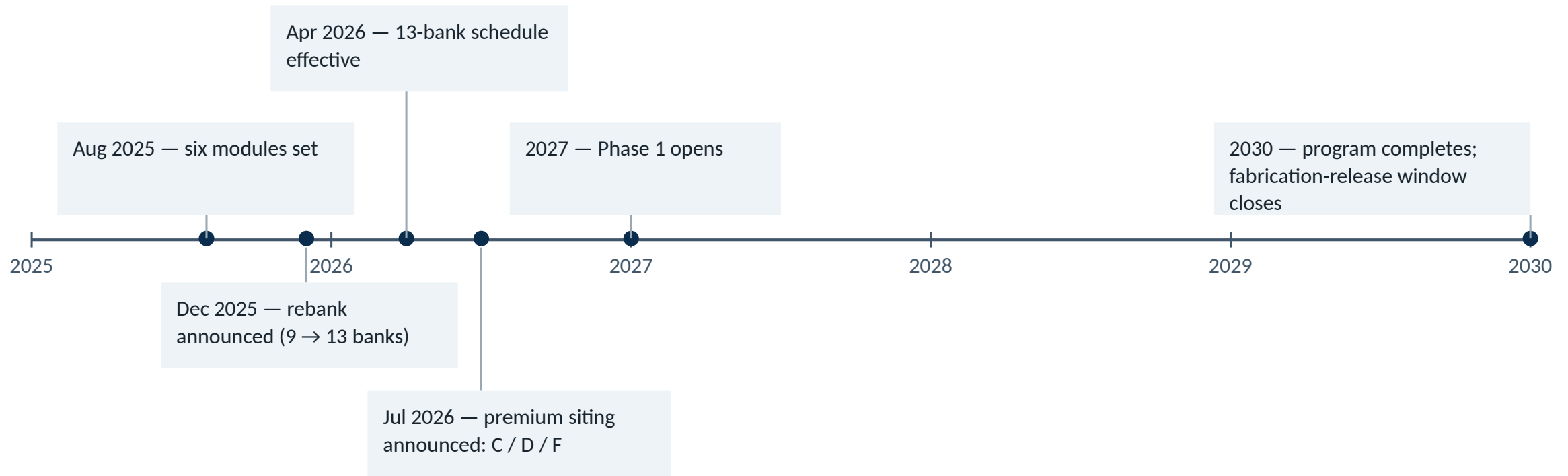
What the retrofit costs when the option was never bought

READ-AHEAD

Precedent	What was omitted or failed	What it cost
IAD AeroTrain	Concourse D stop omitted in the 2000s routing; 16 years on mobile lounges	Extension budgeted ~\$3.75B inside a \$22.5B program — program direction, not committed contract
DEN Great Hall	P3 governance failure mid-build	\$184M termination payment plus ~\$2.1B completion
LHR Terminal 5	Commissioning, not geometry — day-one systems failure	£4.3B build on time and on budget; 42,000 bags stranded at opening
JFK Terminal 5	No premium or international optionality in the original scope	\$875M build; \$200M T5i extension (2014); 2025–26 premium refresh, cost undisclosed
LGA Terminal C	The governance counter-example — disciplined single-airline delivery	\$4B, completed ~2 years ahead of schedule

The program clock: 2025–2030

READ-AHEAD



Per-module release-for-fabrication dates — unpublished; obtaining them is the register's first disclosure obligation (D0 / D2)

What the board watches quarterly, and what stops the program

READ-AHEAD

Quarterly indicators

- % of fabrication releases preceded by a written register finding — target 100%
- Options countersigned vs retired (two-cycle rule)
- Aggregate register premium vs the Finance & Audit forward-CPE ceiling
- American connecting share holds a connecting majority
- American premium build-out on schedule: narrowbody premium seats ~25% → ~40%; lie-flat +50%+ by decade end
- Skylink overnight single-loop performance

Stop conditions

- STOP** Flagship-tier build-out announced on a published schedule
- STOP** Connecting share below the majority floor, two consecutive annual cycles
- STOP** U&L renegotiation opens before 2043

The VP Terminal Development convenes any unwind review; the CEO's office signs the unwind.